KCB

Q3 FINANCIAL RESULTS FOR PERIOD ENDED 30 SEPT 2014

KEY HIGHLIGHTS

Partnerships

No. Of Employees

7,500 FTE

Total Equity

Kshs. 3.025bn

Ordinary shares in issue of Kshs. 1 each

Awards

KCB Bank Group

Largest bank in East & Central Africa by assets

Listing

NSE, DSE, USE, RSE

Ownership Profile:

- ✓ Foreign Investors 29%
- ✓ Local Institutional 27.5%
- ✓ Local Individuals 26%
- ✓ Government of Kenya 17.5%

GCR Rating

GCR Affirms KCB's rating of AA (Ke) Outlook stable

Channels

- ✓ 242 branches
- ✓ 962 ATMs
- ✓ 9,238 agents
- ✓ 1M customers on mobile

Subsidiaries

Tanzania, S.Sudan, Uganda, Rwanda & Burundi
KCB Insurance & KCB Capital

MACRO-ECONOMIC ENVIRONMENT

OPERATING ENVIRONMENT - KENYA

	Sep-13	Dec-13	Mar-14	June-14	Sep-14
Central Bank Rate	8.5	8.5	8.5	8.5	8.5
Kenya GDP	4.4	4.7	4.1	5.8	5.8
Crude Oil Price USD/Barrel	114.7	113.1	110.2	115.1	93.0
Kenya Inflation	8.2	7.1	6.3	7.3	6.6
FX Rate Interbank (KSHs./$)	86.6	86.3	86.4	87.6	89.3
Interbank Rate	8.6	12.2	7.3	10.0	6.8

Comment

The Kenyan Economy:

Kenya's GDP growth was mainly supported by robust growth in;

- construction (18.9%)
- manufacturing (9.1%)
- financial & insurance (8.3%)
- information and communication (6.4%)
- wholesale and retail trade (6.8%)

this **outweighed a decrease in tourism**

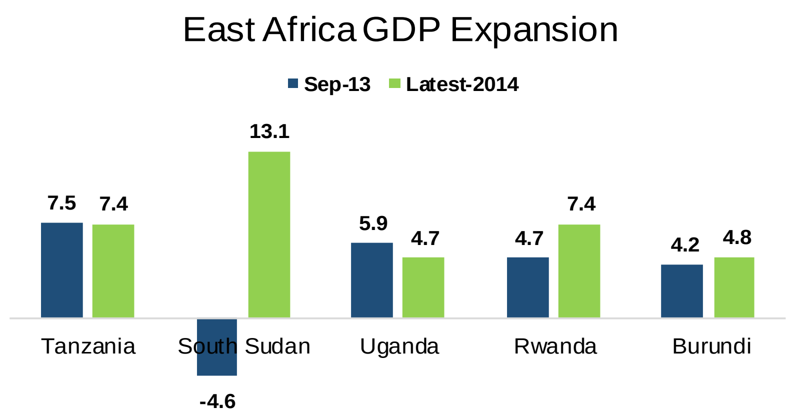
Revision of the travel advisories by the French and UK governments

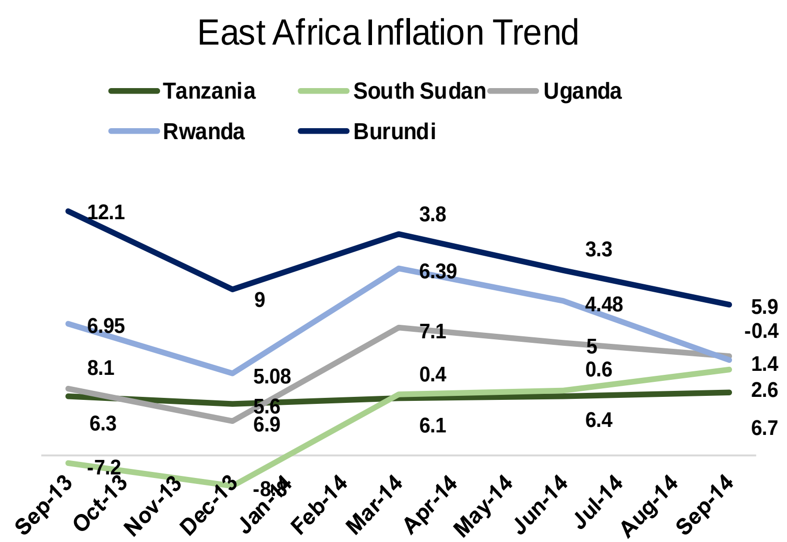
Consumer-price index will likely hover between 5% to 7% over the next three months

Renewed **confidence and cooperation** between Kenya, the United Nations and the World Bank

Factors supporting **the shilling include FDI flows** that are diversifying away from natural resources and an increase in **Diaspora remittances**

OPERATING ENVIRONMENT - REGIONAL





Source: Trading Economics, National Bureau of Statistics, South Sudan

Comment

In **Uganda**, the **prevailing low inflation** is likely to push the Central Bank to ease its stance to lower borrowing costs, potentially weakening the local currency

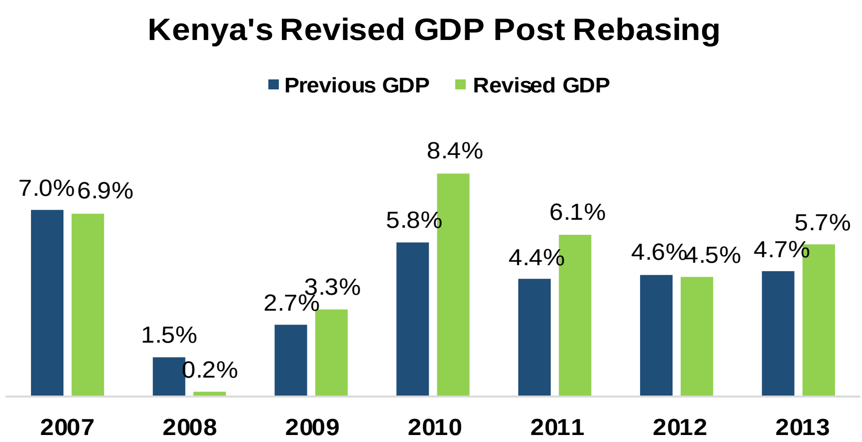
Rwanda expects to enact **new investment rules** at the start of 2015 that could offer incentives such as seven-year tax holidays for bigger investors and sharply lower corporate taxes – a strategy to wean Rwanda's economy off foreign aid and **bolster receding growth.**

The **BIF** continues **a downward trend** on the fall in donor funds due to the on-going political situation and reduced inflows of hard-currency from a drop in coffee prices

In **South Sudan**, USD scarcity and expensive black market rate (USD being sold at 4.95 while central bank sells at 3.17) makes it difficult for traders to import goods. **Inflation increased** to 2.6% in July on higher prices in food & non alcoholic beverages

The **TZS weakened** and settled at an average of TZS1680 as the rising demand for the dollar continues to pressurize the local currency despite some inflows from agriculture and institutions. Tanzania Central Bank intervened by selling dollars into the economy but impact has been low due to the availability of only 3 month forex cover

MOMENTUM FROM OF REBASING AND KBRR



Bull Case:

- Key findings by the government after rebasing:
  - The **revised GDP is higher by 25.3**%; GDP per capita is USD 1,246
  - Emerging sectors gaining more significance in the economy (e.g. Real estate and ICT); Agriculture is still the backbone of the economy (5 year average share grew from 24.1% to 25.4% in 2013)

Bear Case:

- The **instability** in the Middle East and North African region as well as in Ukraine remains a risk to the stability of **international oil prices** and the overall price stability objective

**Source: Kenya National Bureau of Statistics*

Increase on average deposit rates

KBRR Bull Case:

- **Expected increase in uptake of loans** across the industry that will enhance development in the country

Decline on average lending rates

KBRR Bear Case:

- Average lending interest rates have declined in 2014 relative to 2013 while average deposit rates have increased across all bank categories as a result ***NIMs have experienced a slight deterioration***

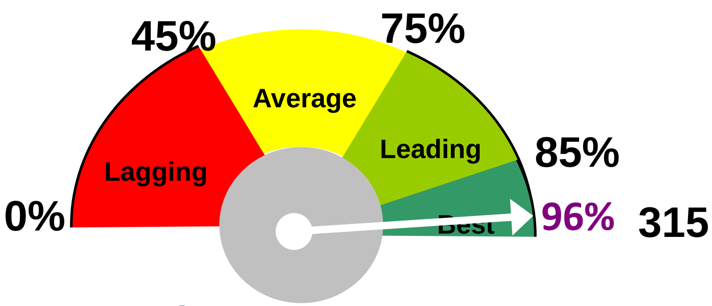
Impact of KBRR:

- Initial data from 22 commercial banks and 6 microfinance banks indicate that new and existing loans amounting to Ksh. 43 billion and covering 182,731 loan accounts **had benefited from the KBRR framework by end of August 2014**

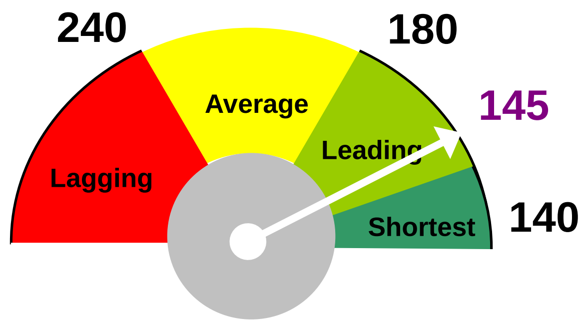
- The average premium that commercial banks charged above the KBRR on commercial mortgages was 3.05 percent while that on corporate loans (1–5years) was 4.09%

KEY STRATEGIC THEMES

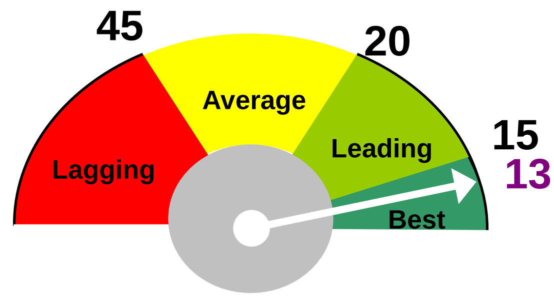
DELIGHTFUL CUSTOMER EXPERIENCE



Occupancy Rate
Target 90%
2013: 8%

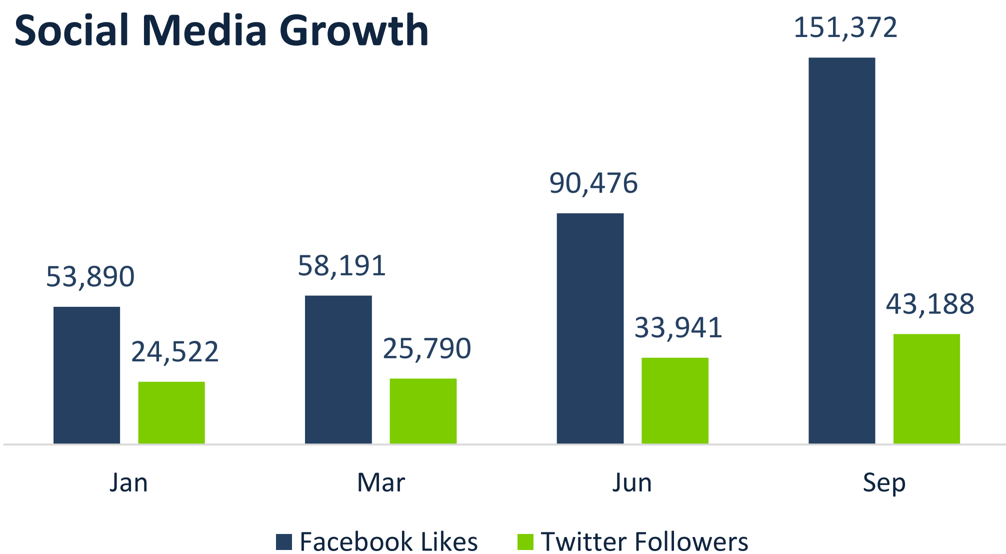


Average Talk Time
Target 140 Seconds
2013: 221



Average Speed of Answer
Target 10 seconds

Social Media Growth



Driving highly engaged customers

- Fastest growing in the social media community and now the most popular bank on Twitter in Kenya
- 85% positive sentiment
- @kcbgroup ranked top 20 most trended topics during #KCB loves you Customer Focus week

KCB Making the Difference

RETAIL & BUSINESS BANKING

Growing entrepreneurs to drive Extraordinary Change

- Account numbers – 1M new accounts in 2014
- 57% growth in SME and Retail ABF assets in 2014
- 37% growth in Micro Banking assets in 2014
- 30% growth in Personal banking assets in 2014

- Growth of agency to 9,238 outlets, over 4M transactions and KShs 9.2B deposits collected in 2014

- Only bank able to open accounts at agency outlets with nearly 300,000 accounts opened to date

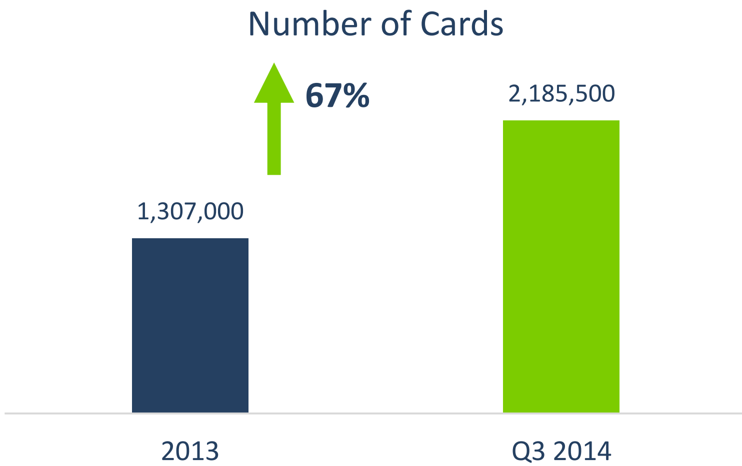
- Partnering to enhance financial inclusion:
  - Over 2,000 groups in JOYWO
  - Groups now operating as KCB Agents

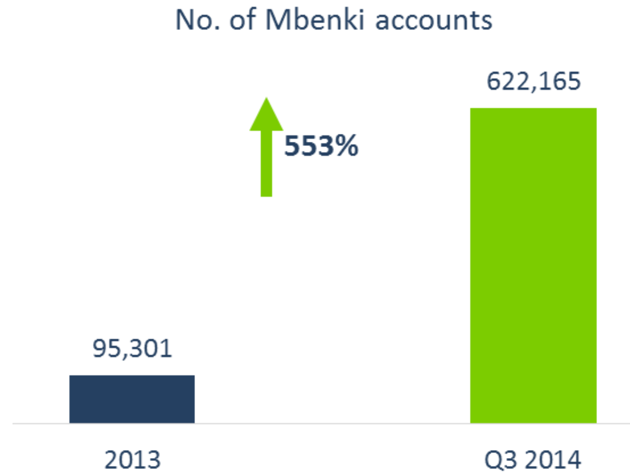
RETAIL & BUSINESS BANKING

Disruptive Payment Solutions

- Biashara smart and Mobi Loans – KShs 500M loans disbursed in 3 months to over 100,000 customers via mobile recruitment
- Enhancing digital payments with over 7.6M transactions on mobile in 2014 (12M by close of the year)
- Payment solutions – JCB and Union Pay in 2014
- Transit cards – Certification and approval to issue 1M Pepea cards received from the CBK and NTSA
- Driving a cash lite environment through card issuance, acquiring and integration of POS terminals

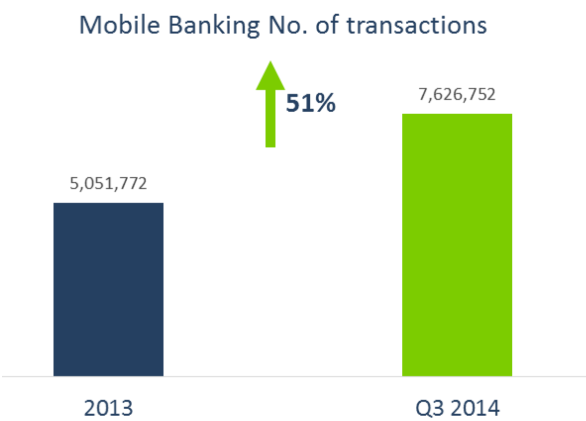
TRANSFORMING TRANSACTION BANKING

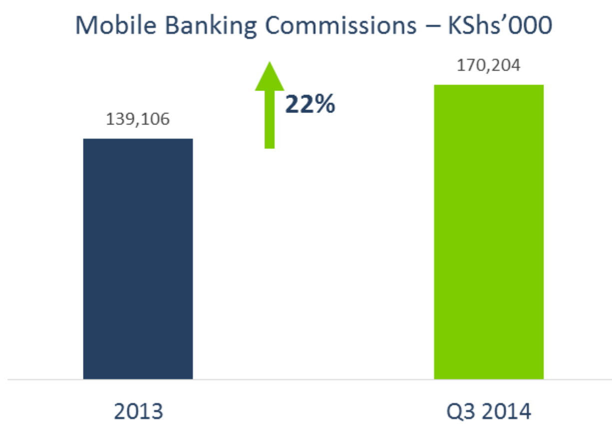




Strong card growth through customer acquisition and partnerships such as Nakumatt Global and Abiria

- Accelerated growth in Mbenki accounts with inclusion of mobi loan application
- 80% account activity in 90 days
- 92% account activity in 120 days



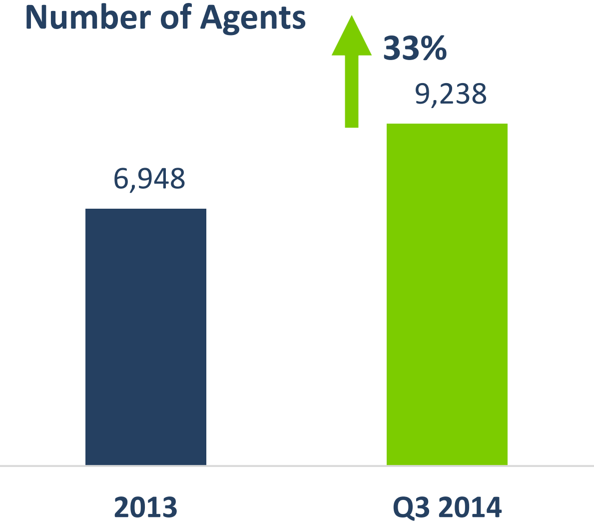


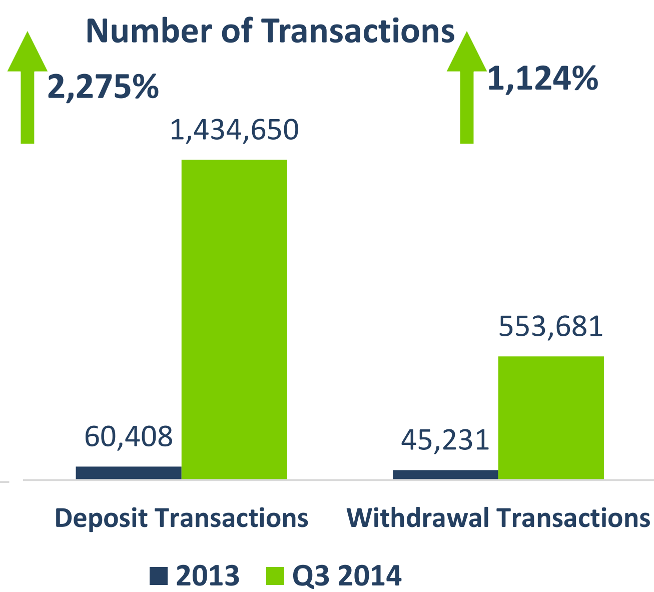
Increased activity on M-Benki account as well as enhanced user experience and services to all mobile banking service users

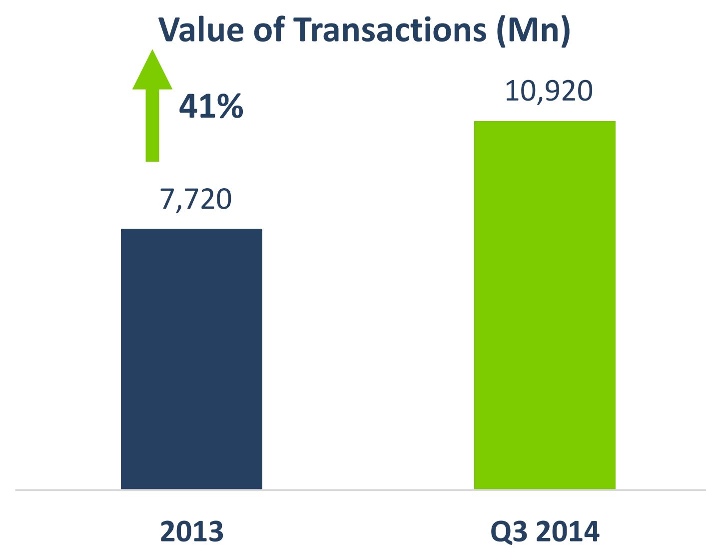
DELIVERING GREAT AGENCY SOLUTIONS

…inspiring extra ordinary possibilities and futures

Increased services from 6 to 11







CORPORATE BANKING

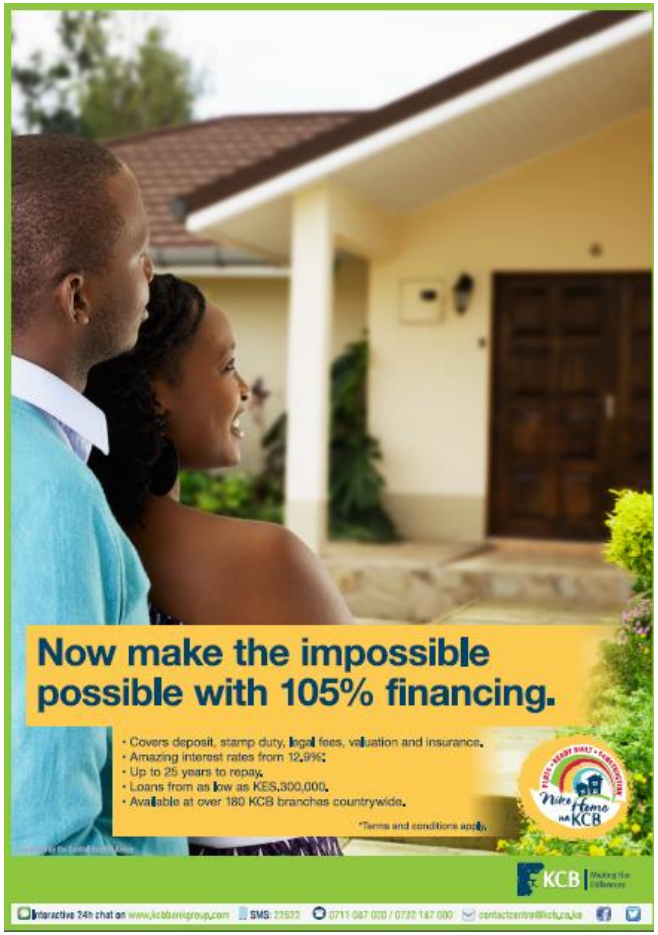
Deals of **over KShs 1B** in 2014 in Education, Financial Services, Government, Energy, Transport, Communication, Mining, Agriculture, Trade and Construction

KCB is working with various government bodies on infrastructure, rail, road, compensation, banking contractors and sub-contractors both for the businesses and individual staff

Custody Business:

- Market Share of 20% holding assets valued at over 650B
- Driving implementation of new products and market initiatives: REITS, Asset Backed Securities
- Partnered with RBA and other industry stakeholders to promote pension savings in the informal sector
- The leading provider of Trustee Services for collective investment schemes (market share of approx. 80%)

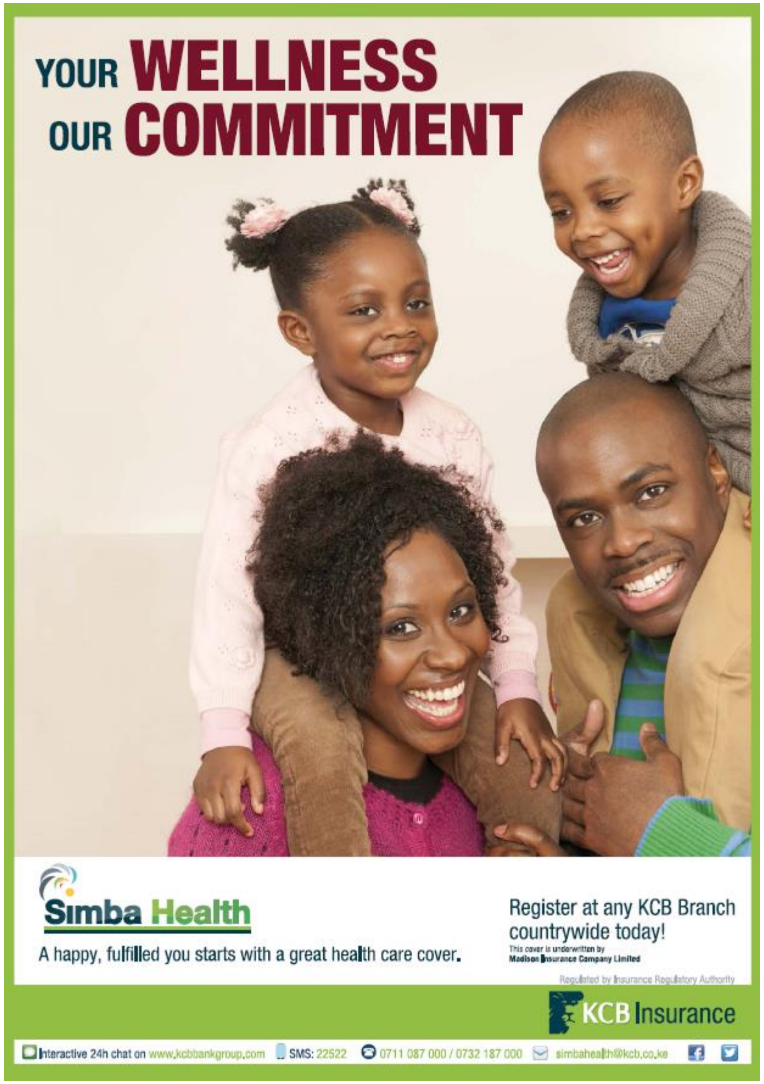
MORTGAGES RACE TO A MILLION HOMES



Enabling the dignity of owning a home for more people every day.

- Mortgage Asset Book growth in 2014 by KShs 4.3B
- Improved interest rates:
  - Bundled product offering at 12.9%
  - 105% Mortgage product
- Partnerships: Technology reliant low cost housing developers targeting to build 6,400 houses for Government through S&L Investment Company.

EXPANDING INSURANCE REACH



- Enhanced Distribution to more KCB branches
- Capacity to handle all insurance classes/products:
  - Property & Liability insurance
  - Motor Insurance
  - Micro Business
  - Livestock Insurance
  - Life Insurance
  - Healthcare Insurance
- **Premium of over KShs 1.22B** from Kshs 500M and **PBT of KShs 145.5M** from KShs 33M
- Providing cover to KCB Customers
- Installation of an IT system to improve efficiency and speed of service to customers

Way forward:–
Leverage the bank's wide reach & established infrastructure to ensure availability of insurance products/ services countrywide to ease access and convenience to clients

CREATING AN INVESTING CULTURE

Products
Advisory business in debt and equity rolled out

Roads Annuities
Inception of an innovative government program with the Infrastructure Ministry and National Treasury PPP Unit

Securities Trading License
Trading will be launched during the 1st Quarter of 2015

Way Forward
Leveraging 2014 achievements for growth into other lines of activity and support asset generation activities

ROBUST & CONSISTENT INFORMATION TECHNOLOGY

System Changes in 2014:

- EMV – New system installation for card operations and enhanced security to global standard.
- T24 hardware refresh
- Mobile – enhanced utility & customer experience
- Internet Banking – Upgrade for enhancement of customer applications.
- Agency banking – significant expansion of services from phone based to POS.
- Private cloud roll out
- Biashara Smart – USSD integration with Safaricom

System Changes in 2015

- CBS - Technical Upgrade from R8 to R14 at a cost of $6M

KCB Foundation

COMMUNITY PARTNERSHIPS

MIFUGO NI MALI

A KCB FOUNDATION PROGRAMME

Enterprise development

- **2,000 women** trained on financial literacy and agri-business development through Joyful Women Organization (Joywo)

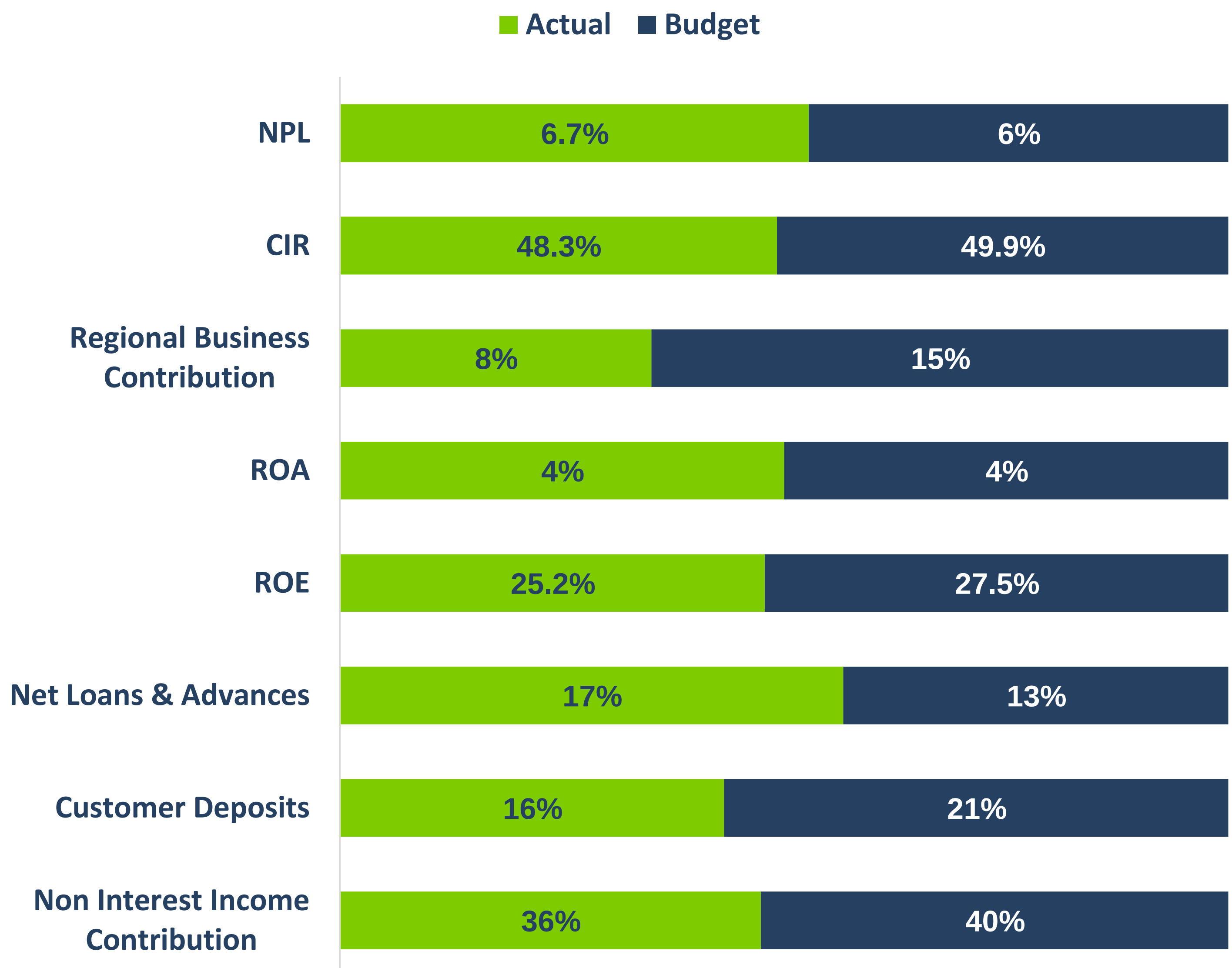
Growth of Livestock Value Chain

- **10,000** Farmers reached with the Mifigo ni Mali program to provide capital & business skills in three counties - Baringo, Taita Taveta and Narok counties

- To grow KShs 1B livestock enterprise development fund in 5 years

Q3 FINANCIAL RESULTS

PROGRESS ON STRATEGIC PRIORITIES

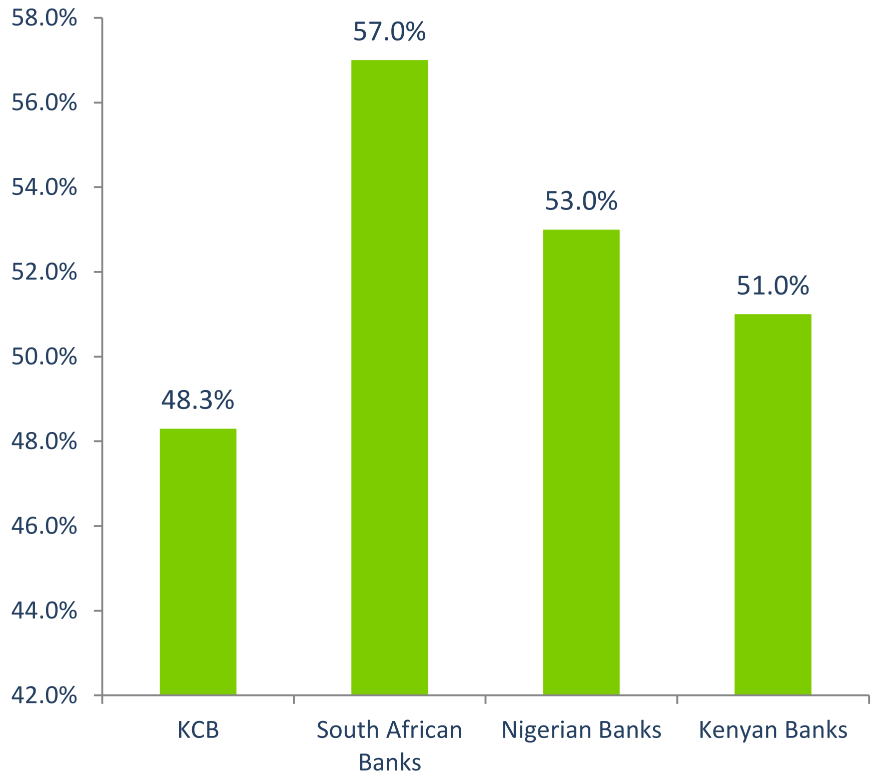


COST TO INCOME RATIO

Regional CIR

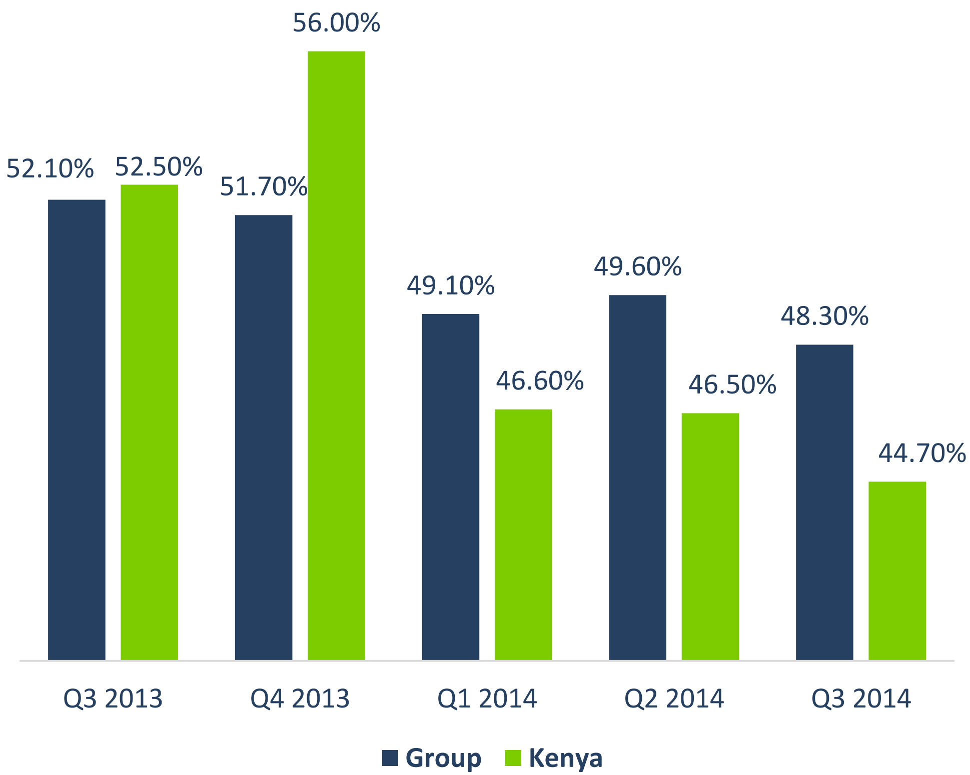
- CIR improving across the industry with increased adoption of technology

CIR Benchmark



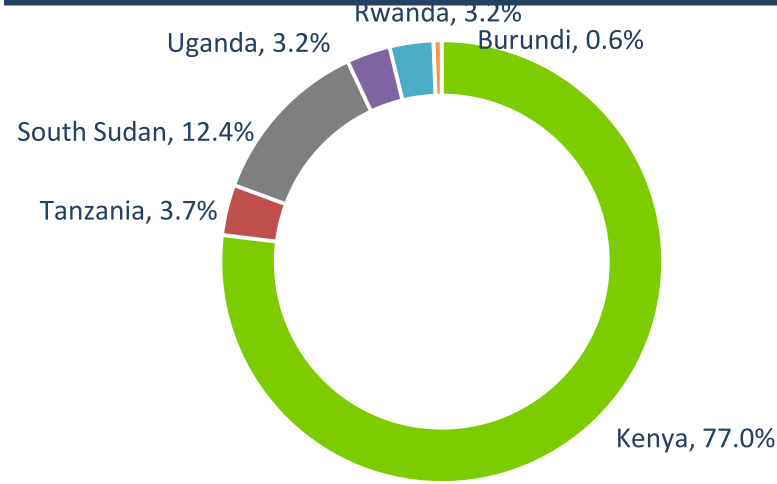
CIR of KCB Group

- Introduction of new products and channels has positively impacted the CIR
- Strong growth from Non Interest Income sources of KCB
- Improved management of operating expenses

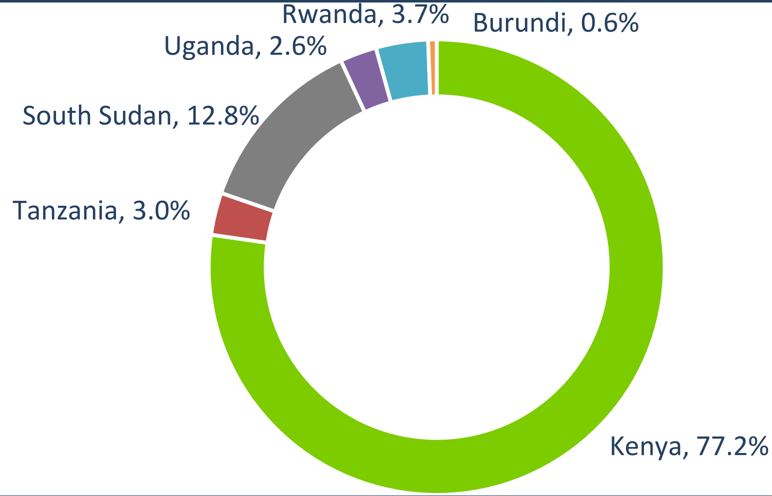


CONSOLIDATION OF REGIONAL BUSINESSES

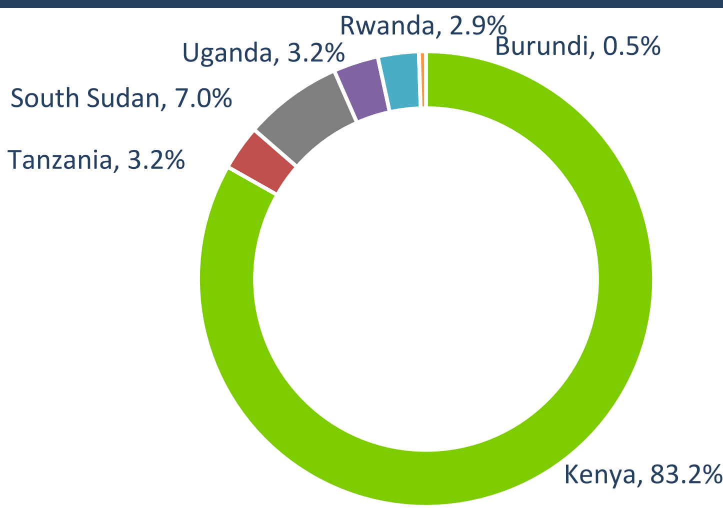
Total Assets Contribution Sep 2014



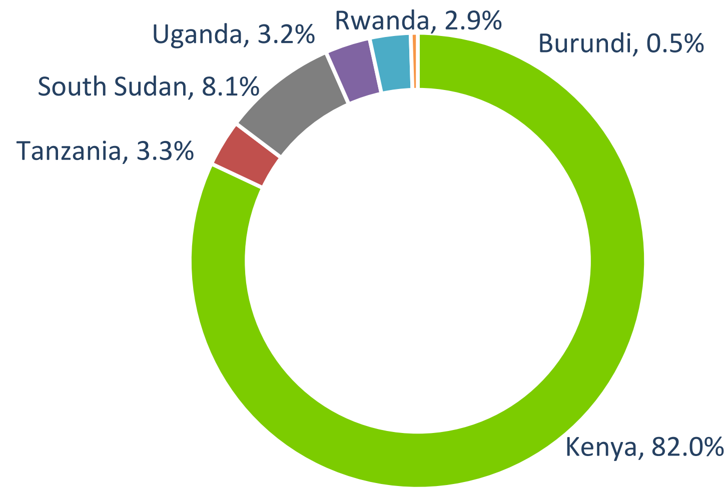
Total Assets Contribution Sep 2013



Total Revenue Contribution Sep 2014

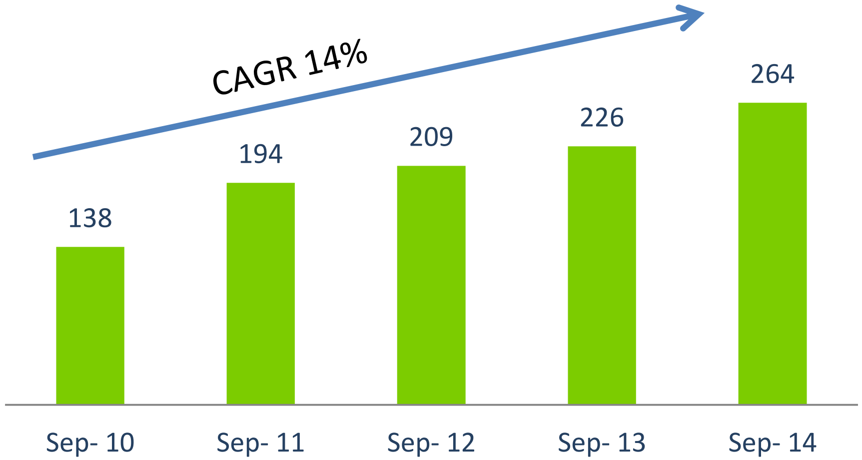


Total Revenue Contribution Sep 2013

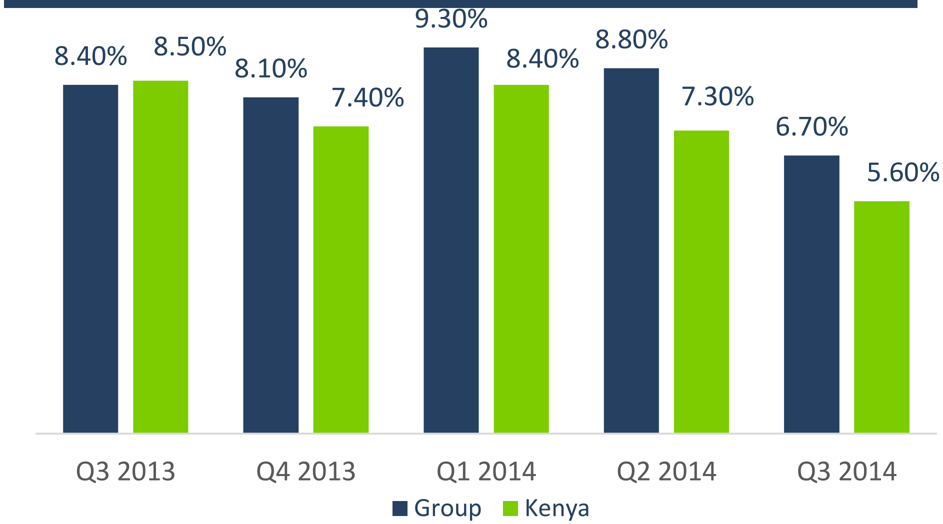


ASSET GROWTH

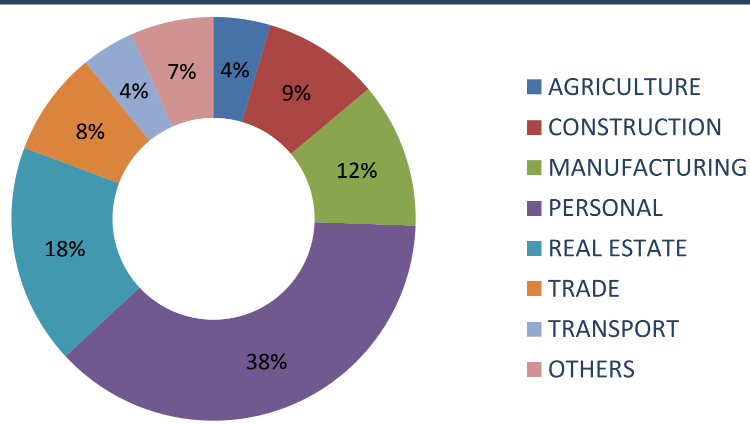
Net Loans & Advances (KShs. Bn)



NPL Ratio

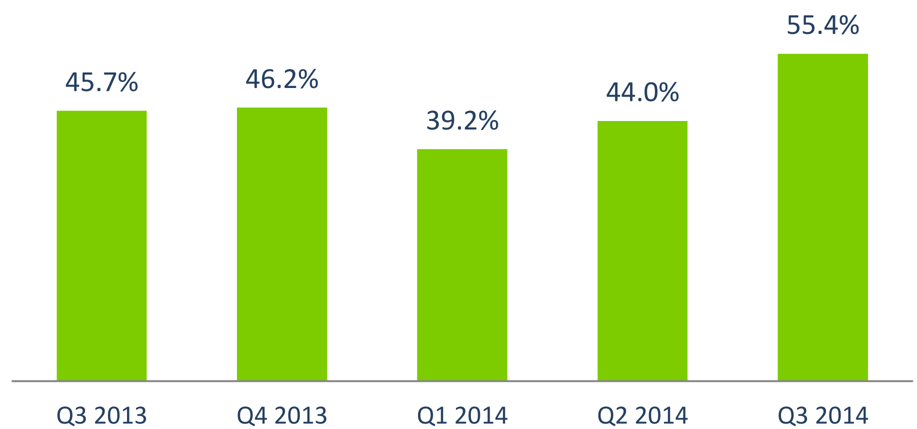


Loan segmentation - 2014



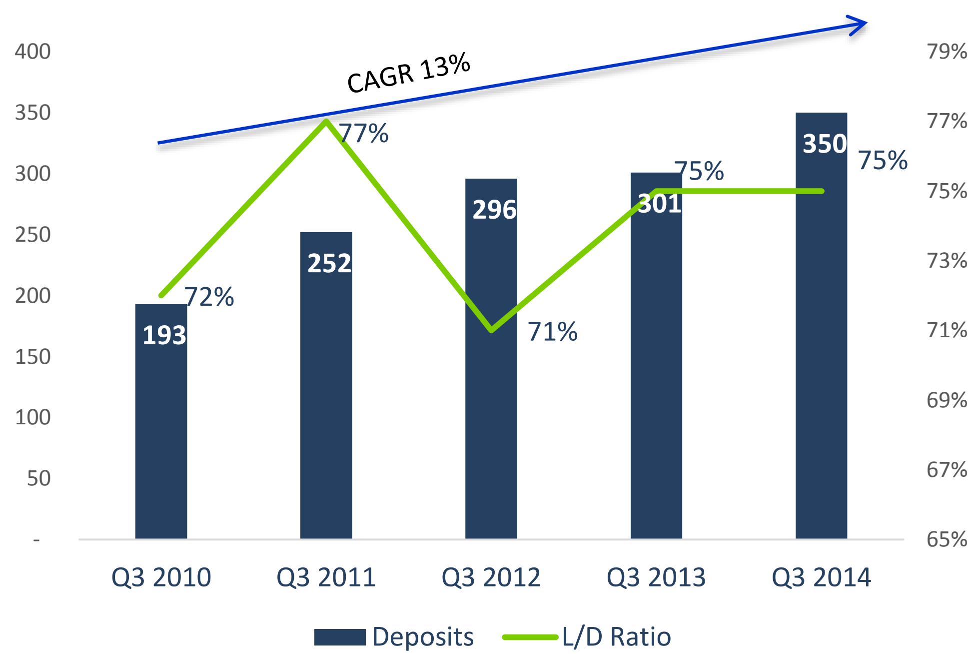
*others – mining, tourism, financial services & Energy

Coverage Ratio - IFRS

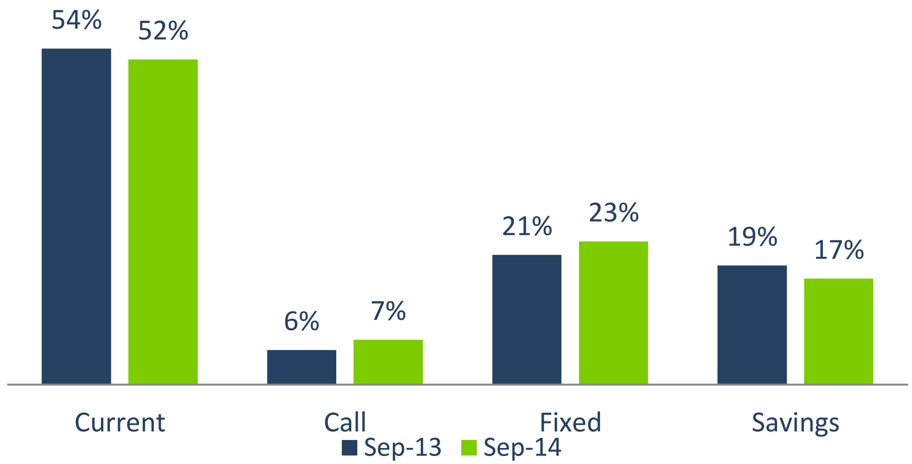


CUSTOMER DEPOSITS

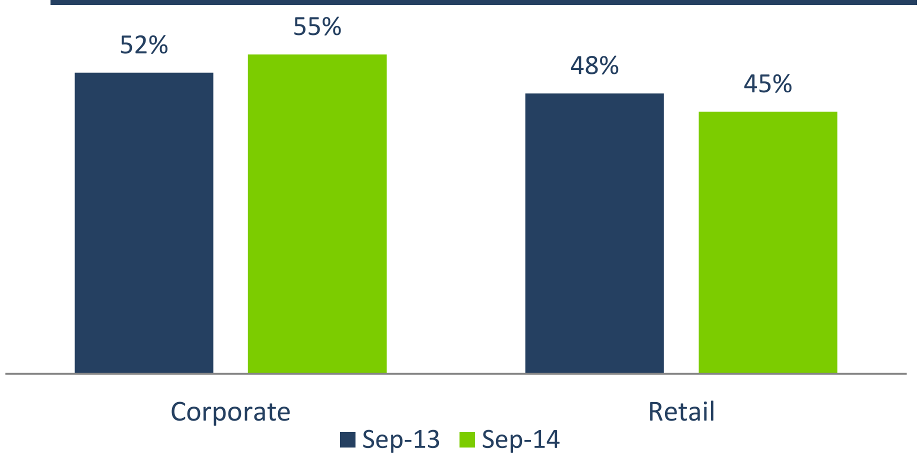
Customer Deposits (KShs. Bn)



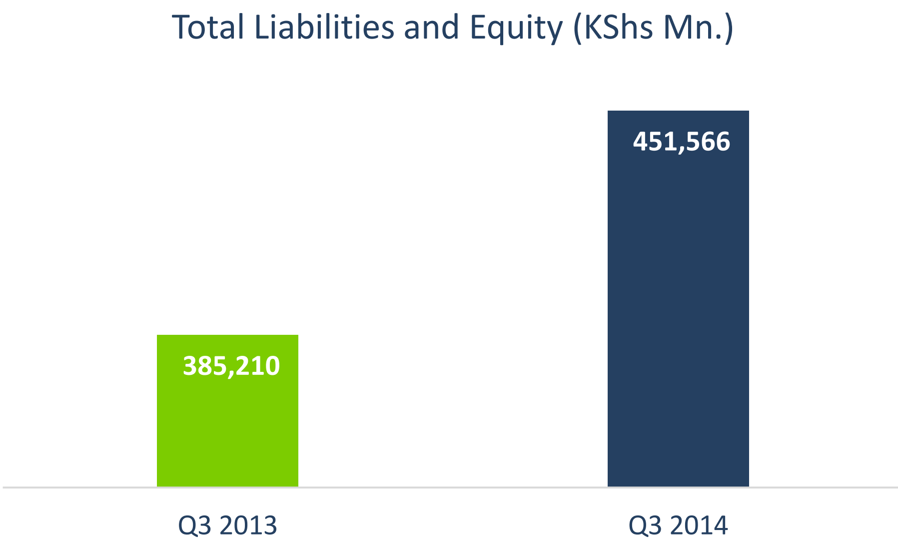
Deposits by Type - September 2014

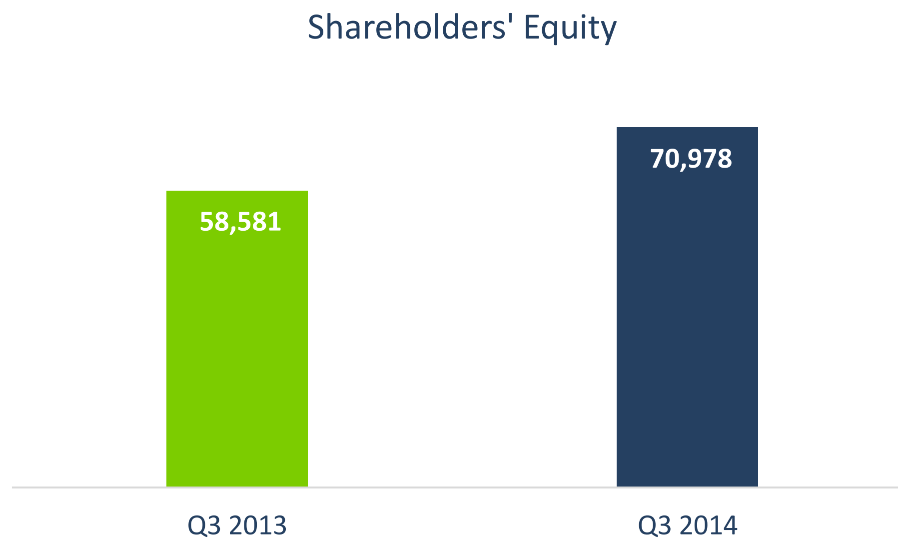


Deposits by sector - September 2014



TOTAL LIABILIES AND EQUITY





Strong deposit growth witnessed in 2014 from across sectors

Strong five year CAGR of 13%

Key drivers for growth in total liabilities were 17% growth in customer deposits and an increase in long term debt

CENTRAL BANK RULES vs. IFRS

Provisioning Policy Under Central Bank Rules

- Provision amount on each individual account is computed monthly based on the Central Bank prudential guidelines and the relevant entries passed through the P&L in the Bank books of account
- Monthly the portfolio is subjected to an impairment assessment as per IFRS
- Impairment as per IFRS is compared to provisions amount as per Central Bank and if Central Bank provisions amount is greater than impairment as per IFRS, the difference is accounted for through reserves, otherwise an additional charge is recognized in P&L to increase provisions to the IFRS assessment

Summary of Central Bank of Kenya Rules

Grade	Classification Class	Overdue Days	Provisioning required
1	Normal	0-30	1%
2	Watch	31-90	3%
3	Substandard	91-180	20%
4	Doubtful	181-365	100%
5	Loss	Over 365	100%

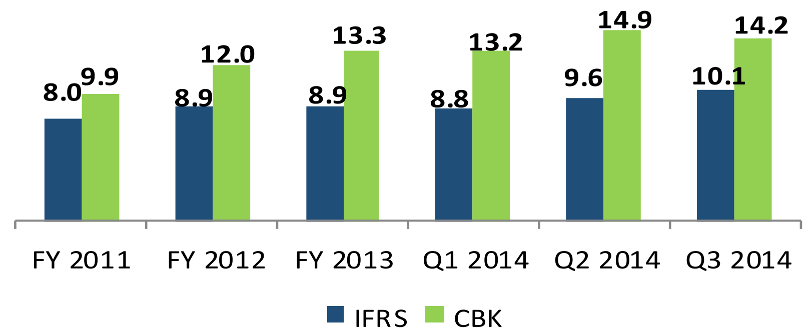
Financial Statement (KShs. Mn.)

Difference between CBK and IFRS provisions is recorded in a reserve included in the Shareholders' Equity

Assets		Liabilities	
Gross Loans	274,422		
IFRS Provisions	10,126	Liabilities	380,588
Net Loans	264,296	Loan Loss Reserve	4,134
Other Assets	187,270	Shareholders Equity*	66,844

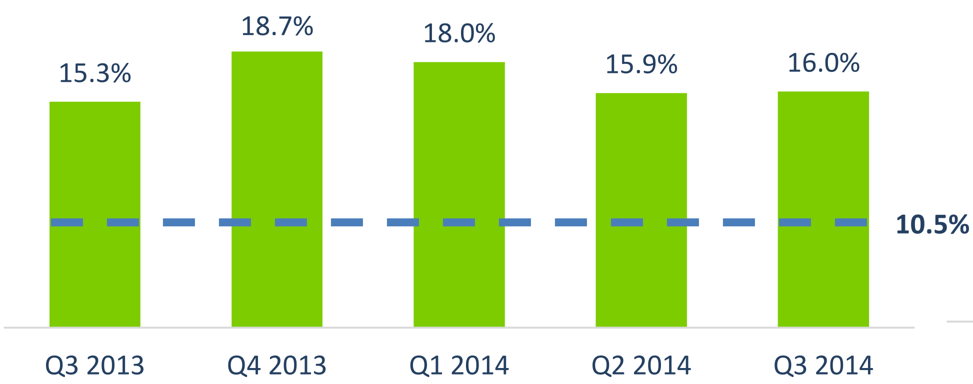
*Excluding Loan Loss Reserve

Evolution of Provisions for Loans (KShs. Bn.)

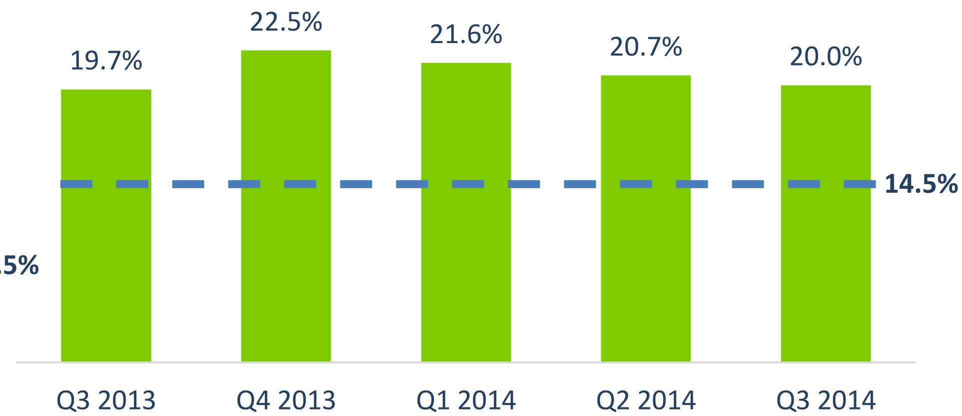


CAPITAL ADEQUACY

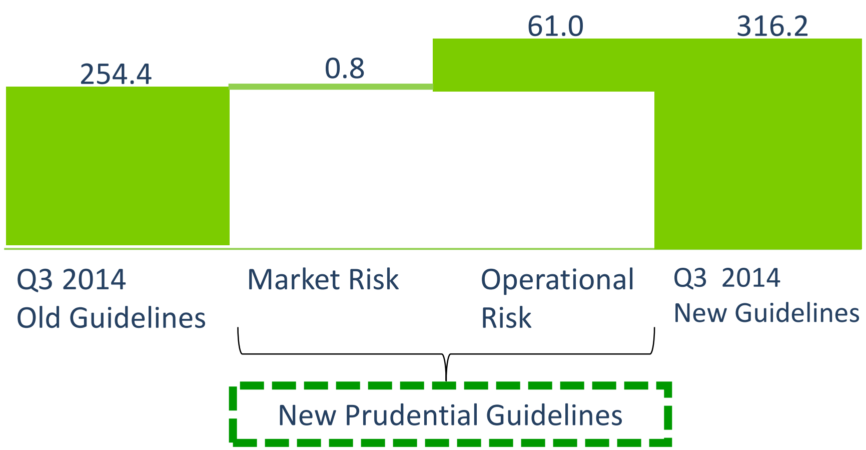
Core Capital/Total Risk Weighted Assets



Total Capital/Total Risk Weighted Assets



RWA Evolution (KShs. Bn)



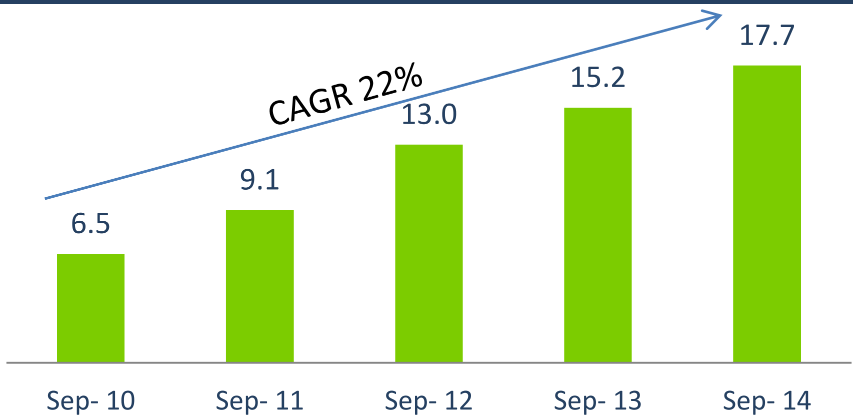
- Minimum ratios in the new prudential guidelines are; CC/RWA 10.5% and TC/RWA 14.5%
- The bank has a buffer of KShs. 27.5Bn over minimum requirements to fund growth

GROUP STATEMENT OF COMPREHENSIVE INCOME

KShs Mn.	ACTUAL SEP 2014	ACTUAL SEP 2013	Y-o-Y % Change	ACTUAL DEC 2013
Net interest income	25,827	24,274	6%	32,984
Foreign exchange income	3,212	2,678	20%	3,710
Gross fees and commissions	9,080	7,566	20%	10,501
Other income	1,120	708	58%	1,005
Total operating income	**39,239**	**35,226**	9%	**48,200**
Total operating expenses	-20,616	-19,524	6%	(27,080)
Net provisions for bad debts	-925	-533	74%	(996)
Profit before tax	**17,698**	**15,169**	**17%**	**20,124**
Tax	-5,215	-4,353	20%	(5,782)
Profit after tax	**12,483**	**10,816**	**15%**	**14,342**

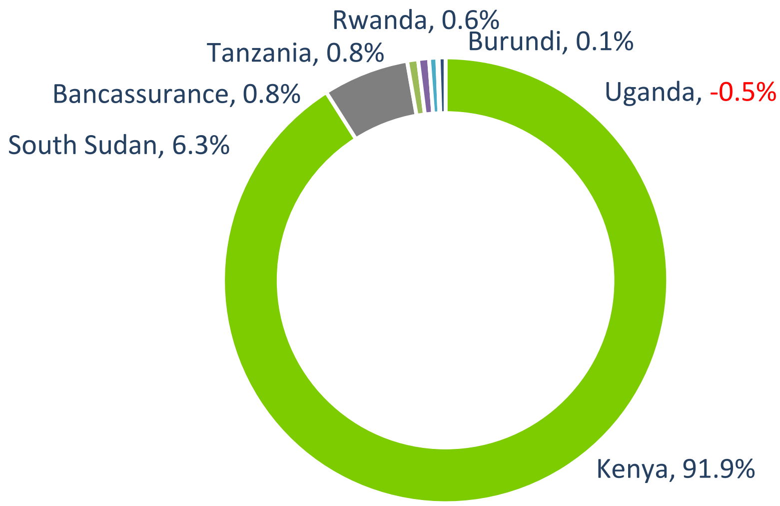
PROFITABILITY

PBT Growth (KShs. Bn.)

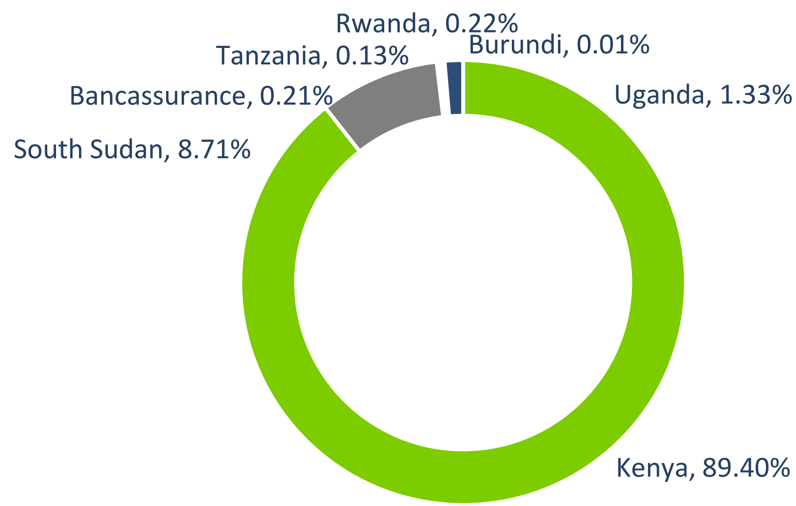


- Strong five year CAGR of 22% due to
  - Growth of customer numbers and volume of transactions
  - Increasing returns from investment in alternative channels
  - Kenya revenue boosted by new business, KCB Capital and KCB Bancassurance

Distribution of PBT by Region - Sept 2014



Distribution of PBT by Region-Sept 2013



SUMMARY: KEY STATISTICS AND PERFORMANCE RATIOS - Q3 2014

- Market Capitalisation- KShs. 171.1Bn
- Customer loans- KShs. 264Bn
- Customer deposits- KShs. 350Bn
- Assets- KShs. 452Bn
- Customers- 4 Mn
- Branch network- 242
- ATMS- 962

- ROAA- 4.0%
- ROAE- 25.2%
- Tier 1 ratio- 16.0%
- Tier 2 ratio - 20.0%
- NIM- 9.5%
- Cost to Income Ratio – 48.3%
- Strong Liquidity – 32.8%


THANK YOU